Marketplace Platform: Costing, Pricing and Year-1 Plan

Prepared 30 October 2026. All figures are in INR and before 18% GST unless stated. USD is converted at ₹100.

1. Summary

- **What it is:** a marketplace where customers book and buy services and products from vendors, and vendors book and contract with each other, as a website and an Android app hosted on Render.
- **Tech bill at full scale** (1,000 vendors, 50,000 customers, month 12): about **₹38,960 a month**, or ₹39 per vendor.
- **Further savings** of about ₹21,000 a month are possible, which would bring the bill to about ₹18,000.
- **Year-1 tech bill:** about ₹2.26 lakh, about 9.8% of the subscription-model revenue of about ₹23 lakh. Revenue exceeds the tech bill from month 2.
- **Cost to onboard one vendor:** about ₹40 of platform cost for the free-trial month, or ₹100 per vendor who ends up paying.
- **Pricing:** a subscription model needs about ₹110 a month per paying vendor to cover the tech bill. Because money flows through this platform, a **commission plus optional Pro subscription model** fits better. It needs an average take of about 2.7% to cover the tech bill, including the payment gateway fee, on illustrative volumes.

2. Scope

Included in the tech bill: Render (servers, database, cache), Cloudflare R2 file storage, Amazon SES email, SMS/OTP, and Maps.

3. Growth assumptions

Growth is gradual. The full 1,000 vendors and 50,000 customers are reached only at month 12.

- **Vendors:** 30 join in month 1, rising to about 100 a month, reaching 1,000 by month 12.

- **Customers:** 1,000 in month 1, reaching 50,000 by month 12. About 30% are active each month.
- **Free trial:** a vendor is free in the month they join and is billed from the next month.
- **Conversion:** 40% of vendors convert to paid. This is an assumption to test with real data.
- **Usage at month 12:** about 20,000 leads or enquiries, 35,000 SMS (15,000 OTPs and 20,000 alerts), 100,000 emails, 150 GB of web traffic and 50 GB of stored files. Usage scales with customers in earlier months.

4. Monthly tech bill

Rates used for each line

Category	Rate basis	Month-12 cost
Render	Pro workspace $25, two 1 CPU / 2 GB web services $50, worker $7, Postgres 1 CPU / 4 GB $55, 20 GB extra DB storage $5.70, Key Value 256 MB $10, bandwidth beyond 25 GB included at $0.15 per GB ($18.75 for 150 GB). Total $171.45	₹17,145
R2 file storage	$0.015 per GB-month beyond 10 GB free, zero egress	₹60
Email (SES)	$0.10 per 1,000 emails, so 100,000 emails is $10. The newer Essentials plan at $0.16 per 1,000 would be about ₹1,600	₹1,000
SMS/OTP	MSG91: about ₹0.15 per OTP and ₹0.18 per transactional SMS, so 15,000 × 0.15 + 20,000 × 0.18	₹5,850
Maps	Android Maps SDK free. Web on OpenStreetMap/MapLibre (free). Google geocoding (20,000 requests, 10,000 free, then $5 per 1,000) $50 and autocomplete (45,000 requests, 10,000 free, then $2.83 per 1,000) $99	₹14,905
Total		**₹38,960**

With 18% GST the month-12 bill is about ₹45,970. If you are GST-registered, the 18% is claimable as input credit.

Notes:

- **Render has no Mumbai region.** The nearest is Singapore, so expect roughly 60-100 ms extra latency. Put Cloudflare's free CDN in front.
- **Render high availability** is listed but its price is not published. If the standby costs the same as the primary database, add about ₹5,500 a month.
- **Minimum Render setup** (Pro, one web service, 1 GB Postgres, Key Value) is about $79, or ₹7,900 a month.
- **Google Maps** has a separate India price list in INR. If all web maps also used Google, maps would cost about ₹28,900 a month.
- **DLT registration** for SMS is a one-time fee that is not priced here.

Further savings

Change	Estimated saving a month
Replace Google geocoding and autocomplete with Mappls or OpenStreetMap, and cache results (Mappls rates not verified)	about ₹10,000
Send alerts by free push notifications and keep SMS for OTPs	about ₹2,300-3,350
Put Cloudflare's free CDN in front to cut Render bandwidth	about ₹1,900
Stay on the mid Render plan (₹10,700) until traffic needs the full one	about ₹6,400
Total	**about ₹21,000**

That would bring the bill to about ₹18,000, or about ₹24,000 if you keep the full Render plan. These savings are estimates.

5. Twelve-month ramp

Render steps up in plan size over the year (small plan, about ₹7,900, in months 1-4; mid plan, about ₹10,700, in months 5-8; full setup, ₹17,145, from month 9). Maps costs nothing until the free caps run out around month 5. The revenue column is from the subscription model in section 9 (40% of vendors from the previous month paying ₹1,200 a month).

Month	Customers	Vendors	Tech bill	Per vendor	Paying vendors	Revenue
1	1,000	30	₹8,037	₹268	0	₹0
2	2,500	80	₹8,243	₹103	12	₹14,400
3	5,000	150	₹8,585	₹57	32	₹38,400
4	8,000	230	₹8,996	₹39	60	₹72,000
5	11,500	320	₹12,375	₹39	92	₹1,10,400
6	15,500	420	₹13,942	₹33	128	₹1,53,600
7	20,000	520	₹15,704	₹30	168	₹2,01,600
8	25,000	620	₹17,663	₹28	208	₹2,49,600
9	30,500	720	₹27,362	₹38	248	₹2,97,600
10	36,500	810	₹30,913	₹38	288	₹3,45,600
11	43,000	900	₹34,758	₹39	324	₹3,88,800
12	50,000	1,000	₹38,960	₹39	360	₹4,32,000

- **Year-1 tech bill:** about ₹2.26 lakh (about ₹2.66 lakh with GST), or about 9.8% of the subscription-model revenue of ₹23 lakh.
- **Per vendor:** the cost is high early because the small Render plan is a fixed cost shared across few vendors. It falls to about ₹28 at month 8, then settles near ₹38-39 after Render steps up.
- **Month-12 split:** Render 44%, Maps 38%, SMS 15%, email 2.6%, storage 0.2%. By month 12, 56% of the bill is variable and grows with customers rather than vendors.

6. Cost to onboard one vendor

This counts only the platform cost of the free-trial month.

Item	How it is calculated	Per vendor
Free-trial month (servers, SMS, email, maps)	about ₹39 a month	₹40
Cost per vendor onboarded		**₹40**
Cost per paying vendor (40% convert)	₹40 ÷ 0.4	**₹100**

The conversion rate changes the figure:

Trial-to-paid conversion	Cost per paying vendor
25%	about ₹160
40%	about ₹100
60%	about ₹67

Break-even price per paying vendor: the month-12 tech bill (₹38,960) divided by 360 paying vendors is about ₹108 a month. Recovering the ₹100 onboarding cost over 12 months adds about ₹8, giving about **₹116 a month**.

7. What IndiaMART and JustDial charge

Both sell leads and visibility, not transactions, so they are a reference for the subscription side only.

Platform	Plan	Price
IndiaMART	Maximiser Pro	₹75,000 for 1 year, ₹1.2 lakh for 2 years, ₹1.5 lakh for 3 years (21 weekly leads)
IndiaMART	MDC (Mini Dynamic Catalog)	about ₹3,000 a month or ₹28,000 a year (secondary source; 7 weekly leads monthly, 10 annual)
IndiaMART	IM Star (per category)	₹50,000-75,000 a year in a sample quotation
IndiaMART	Star Pro, Leader Pro, Insta	not found; quoted by category and city
JustDial	Free listing, paid advertising	about ₹2,500 a month or ₹30,000 a year (as told to us; not independently verified)

What to learn from them: IndiaMART sells leads in quotas that rise by plan (7 to 70 a week), sells visibility separately by city and category, rewards annual and multi-year payment, and sells tools such as WhatsApp as add-ons. A reported price rise on its Silver tier cost it about 1,200 subscribers, so price rises do push vendors away.

8. How leads work (for reference)

A lead is a customer who has said they want something. The platform matches it to vendors by category, city and plan, alerts them, and the vendor spends one lead from their quota to see the customer's details and make an offer. The same lead normally goes to several vendors, which is why a lead costs a vendor a few rupees to a few hundred. Leads cost you only about ₹2 each to deliver in tech, so quotas are a marketing tool. The limit is how many leads you actually have: at 20,000 a month at month 12, you can't promise 100 a month to every one of 1,000 vendors unless each lead goes to several vendors.

9. Pricing model A: subscription and leads (JustDial / IndiaMART style)

- **Break-even:** the month-12 tech bill (₹38,960) needs about ₹108 a month per paying vendor (÷ 360 paying vendors). Across year 1 it is about ₹117 per paying vendor-month, because paying vendors build up slowly (₹2.26 lakh ÷ 1,920 paying vendor-months).

- **Conversion sensitivity** at month 12: 20% paying needs about ₹216 a month to cover the tech bill, 30% about ₹144, 40% about ₹108, 50% about ₹87.
- **Profit-maximising price:** on a model where fewer vendors pay as the price rises, profit peaks near ₹1,300 a month but the curve is flat between ₹1,000 and ₹1,500. A price of ₹1,000-1,200 is a good balance. This depends on assumed vendor behaviour and needs real tests, for example by offering ₹800, ₹1,000 and ₹1,500 to different groups at the end of their trial.
- **Suggested tiers** (annual): Basic ₹8,000 (verified badge, about 10 leads a month), Standard ₹18,000 (more leads, ranking in one category and city) and Premium ₹30,000 (top placement in several categories and cities). A 60/30/10 mix averages about ₹13,200 a year (₹1,100 a month), about ten times the tech break-even.
- **Annual billing:** vendors pay upfront, as on IndiaMART and JustDial. With 360 paying vendors at ₹14,400 a year, year-1 cash is about ₹51.8 lakh against about ₹23 lakh on monthly billing. Accounting revenue stays the same. At 25% conversion, year-1 cash is about ₹32 lakh.

10. Pricing model B: commission plus optional subscription (fits this platform)

Because customers book and pay through the platform, and vendors contract with each other there, you can earn a share of each transaction as well as a fee for tools. Commission benchmarks: Urban Company cut its beauty commission from 30% to 25%, Amazon India's referral fee ranges from about 2% to 38% by category, Flipkart charges 5-10% on electronics and 15-20% on fashion, and Amazon and Flipkart charge nothing on products under ₹1,000. I found no reliable B2B contract benchmark, so the B2B rates are proposals.

Starting plans (to test)

Vendors list for free. Every new vendor gets one free month of Pro features.

	Free	Pro	Business
Subscription	₹0	₹1,000 a month (₹10,000 a year)	₹3,000 a month (₹30,000 a year)
Commission, services	12%	8%	6%

	Free	Pro	Business
Commission, products	8%	5%	4%
Commission, vendor-to-vendor contracts	2%, capped at ₹5,000	1.5%, capped at ₹3,000	1%, capped at ₹2,000
Includes	Listing, bookings, payouts, standard ranking	Better ranking, invoicing, contract templates, analytics	Top placement in chosen cities and categories, team accounts, priority support

- **Gateway fee:** the plans assume the vendor pays the payment gateway fee (about 2.4%) on top of the commission.
- **When a plan pays off for a vendor:** Pro beats Free once the vendor sells more than ₹25,000 a month in services (₹33,000 in products), and Business beats Pro above about ₹1 lakh a month in services. Vendors upgrade as they grow.
- **Other revenue to add later:** promoted listings, a customer membership or convenience fee, and fees for contract tools such as e-signing.

Break-even take rate

Break-even take rate = (monthly fixed costs ÷ monthly booking value) + payment gateway cost. On illustrative month-12 volumes of 8,000 bookings at ₹1,500 (₹1.2 crore a month, **assumed, not measured**):

Case	Calculation	Break-even take rate
Tech bill only (₹38,960)	0.3% + 2.36% gateway	about 2.7%

At a 10% commission, you would earn ₹12 lakh and pay about ₹2.8 lakh in gateway fees and ₹0.4 lakh for tech, leaving about ₹8.8 lakh. The business case depends on bookings per active customer and average booking value, and those must be validated first.

Risks specific to this model

- **Leakage:** after the first booking, a customer and vendor can deal directly. Reduce it by holding payments through the platform, adding reviews and guarantees, and lowering commission on repeat bookings.
- **Payments and compliance:** holding or splitting money may need a gateway's marketplace-split product or specific licences, and marketplaces have tax collection duties on vendor payouts. Confirm with a CA and a lawyer before launch.
- **Rising costs:** disputes, refunds and support grow with transactions, and the gateway fee becomes the largest variable cost. The tech bill in section 4 does not include it.

11. Year-1 technical cost against revenue (subscription model, monthly billing)

Item	Year 1
Tech and APIs (from section 5)	₹2.26 lakh
Revenue	**~₹23 lakh**
Revenue less tech bill	**~₹20.8 lakh**

- **Monthly result:** only month 1 runs at a loss (₹8,037, with no revenue yet). From month 2 revenue exceeds the tech bill, and at month 12 revenue of ₹4.32 lakh against a bill of ₹38,960 leaves about ₹3.93 lakh a month.
- **Tech share of revenue:** about 9.8% across year 1 and about 9% at month 12.
- **Annual upfront billing:** collecting 360 × ₹14,400 = ₹51.8 lakh in cash would be far above the ₹2.26 lakh tech bill, though part of it pays for service in year 2.

12. Open questions and next steps

1. Estimate the average booking value and bookings per active customer for the main categories, then rebuild the ramp and break-even on the commission model.
2. Test vendor prices (₹800, ₹1,000, ₹1,500) with real vendors at the end of their trial.
3. Get quotes for Mappls, Render high availability and the payment gateway's split-payment product.

4. Ask a CA and a lawyer about holding customer money, payouts and tax collection on a marketplace.

13. Caveats and sources

Render, R2, SES and Google Maps rates were checked against published pricing in October 2026, and SMS rates against provider pages. SMS rates are negotiated, and Render plans change often. IndiaMART's Maximiser prices come from its help pages. Its other prices are from secondary sources or a sample quotation. JustDial's price is as you told us. Commission benchmarks come from news and seller-fee guides. The growth curve, conversion rate, booking volumes and price elasticity are planning assumptions, not forecasts. Confirm quotes before committing to any budget.